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Private solutions for market failure

Consider the pollination services of bees. The beekeeper gets honey, but the presence of the bees imposes a positive externalities upon other farmers, who get free pollination services. The standard economic analysis teaches us that the free market will get this wrong. The beekeeper spends money on beekeeping till the point where *her* gains from bees are matched against her expenses from bees. She does not value the positive externality that her bees impose upon her neighbours. There will be an underproduction of pollination services.

The first cut of public economics lies in understanding that when there are externalities, there is a market failure. We may want to indulge in some intricate intervention into society in trying to address this. The great economist Ronald Coase brought fresh insight into this field, with what is called the ‘transaction costs perspective’. [1]

Let us look at the problem of bees and externalities in a different way. It is possible for the farmer to pay a beekeeper who will place beehives at the centre of the farm. While some of the bee activities will still spill over beyond the farm, there is a strong connection between the work of the bees and the pollination services received by the customer. This creates a viable business model where some people specialize in owning and transporting beehives to locations chosen by customers.

In Maharashtra, there are professional beekeepers now charging farmers anywhere from Rs 1000 to Rs 3000 for renting out boxes for a month. [2] This presence of a private market for pollination services shows that this contractual solution is a feasible one. Through these private contracts, we